



Fixed Assets: **Retirement and Monitoring**

SAP Business One
Version 10.0

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Welcome to the Retirement and Monitoring topic.

Objectives



At the end of this course, you will be able to:

- Retire a fixed asset
- Use reports and the Asset Master Data form to monitor a fixed asset's value.

Note!

- You need to make decisions about legal and industry requirements together with the client accountant.

At the end of this course, you will be able to retire a fixed asset and use reports and the Asset Master Data form to monitor a fixed asset's value.

Note!

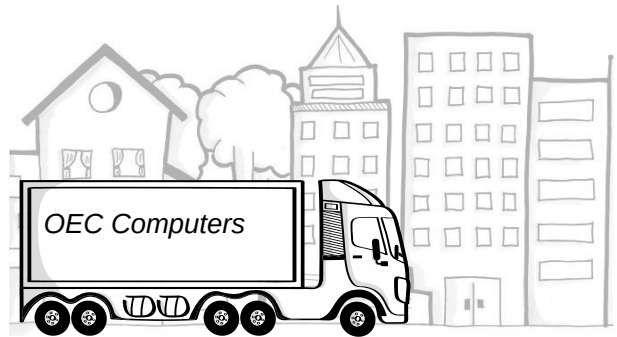
You need to make decisions about legal and industry requirements together with the client accountant.

Business Example



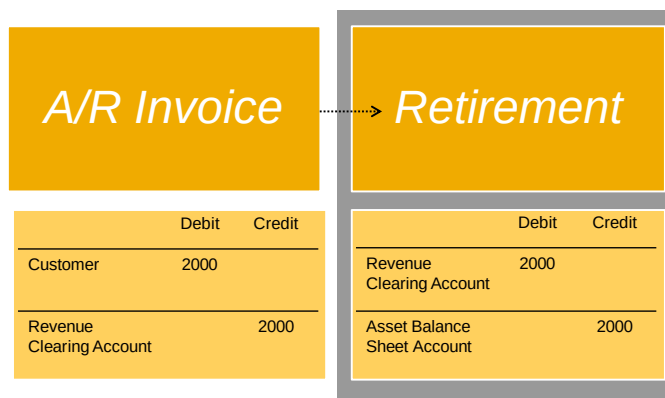
- *OEC Computers* utilizes a small fleet of delivery trucks.
- After purchasing the trucks, they defined them as fixed assets in SAP Business One.
 - In order to present the updated trucks' value in the company financial reports, they need to document the transactions affecting the vehicles' value during their useful life.
 - Retire a fixed asset by an *A/R invoice* or by the *Retirement* document if there is no customer involved.

Use reports and the *Asset Master Data* form to monitor a fixed asset's value.



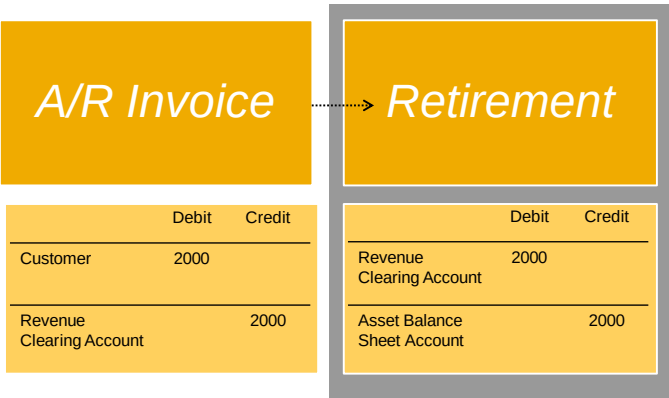
- *OEC Computers* utilizes a small fleet of delivery trucks.
- After purchasing the trucks, they defined them as fixed assets in SAP Business One.
- In order to present the updated trucks' value in the company financial reports, they need to document the transactions affecting the vehicles' value during their useful life.
- You are a consultant implementing fixed assets and you show them the Fixed Assets functionality and working process in SAP Business One.
- Retire a fixed asset by an *A/R invoice* or by the *Retirement* document if there is no customer involved.
- Use reports and the *Asset Master Data* form to monitor a fixed asset's value.

Fixed Assets Retirement



- Retirement is the removal of an asset or part of an asset from the asset portfolio.
- There are two ways to retire a fixed asset: by *A/R invoice* if you are selling the asset or by a *Retirement* document if there is no customer involved and you need to write off the fixed asset.
- In case the company sells the asset at the end of its useful life (or before), the user can retire the item using an *A/R invoice*.
- If you use the *A/R Invoice* option, make sure you define the *Assets Master Data* as a *Sales Item*.
- The *A/R Invoice* automatically generates a *Retirement* document.
- A *Retirement* document can be issued directly in case a customer is not involved and you need to write off the fixed asset.
- After the asset is fully retired:
 - Its value in the asset balance sheet account, in the fixed assets sub ledger, is registered as zero.
 - The asset master data status changes to *Inactive*.
 - The *Net Book Value* of the *Asset Master Data* is set to zero.
- Note, that in the Retirement document there is an option for a partial retirement. In this case, the asset will hold the remaining value until the end of the item useful life.

Fixed Assets Retirement



Note!
Depending on the business scenario and the system definitions, different accounts will be involved in the journal entry attached to the *Retirement* document.

- Note! Depending on the business scenario and the system definitions, different accounts will be involved in the journal entry attached to the *Retirement* document.
- Remember that in the *Depreciation Area* in the *Posting of Retirement* field you choose between *Gross* and *Net*.
- This definition will apply in a *Retirement* document of scrapping type (as oppose to Sales type). The system will always treat scrapping as loss. In *Gross* the system uses the default expense gross account. And in *Net* the system uses the default expense net account.
- In addition, it depends on the *Posting of Depreciation* option you choose (that is *Direct* or *Indirect Posting*).

Asset Depreciation Forecast Report and the Asset Master Data

Asset Depreciation Forecast Report

#	Asset No.	Asset Description	Year	Ordinary Depr.	Period Start...	Period End ...	APC	Accum. Or...	Accum. Un...	A
10	CAR000000071EQ	Navigation System		GBP 18.00			GBP 110.00			
11	CC000025	Classroom chair		GBP 250.00			GBP 1,200.00			
12	E00094	Truck								
3	Transit Van	Transit Van		GBP 400.00			GBP 12,000.00			
342			2020	GBP 400.00	01.01.20	31.07.20	GBP 12,000.00			
343				GBP 400.00	01.08.20	31.12.20	GBP 12,000.00			
14	Transit Van1	Transit Van		GBP 294.00			GBP 2,000.00			
15	VA000400001MF	Mobile Phone		GBP 562.00			GBP 300.00			
16	Virtual4000002FA	Mobile Phone					GBP 300.00			
17	Virtual4000003FA	Mobile Phone					GBP 300.00			

Asset Master Data

Item No. Manual Transit Van

Depreciation Area: SAP 2020

#	Period	Planned Depreciation	Posted Depreciation	Automatic Depreciation	Manual Depreciation
1	1	GBP 0.00	GBP 0.00	GBP 0.00	GBP 0.00
2	2	GBP 0.00	GBP 0.00	GBP 0.00	GBP 0.00
3	3	GBP 0.00	GBP 0.00	GBP 0.00	GBP 0.00
4	4	GBP 0.00	GBP 0.00	GBP 0.00	GBP 0.00
5	5	GBP 0.00	GBP 0.00	GBP 0.00	GBP 0.00
6	6	GBP 0.00	GBP 0.00	GBP 0.00	GBP 0.00
7	7	GBP 0.00	GBP 0.00	GBP 0.00	GBP 0.00
8	8	GBP 80.00	GBP 80.00	GBP 80.00	GBP 0.00
9	9	GBP 80.00	GBP 0.00	GBP 0.00	GBP 0.00
10	10	GBP 80.00	GBP 0.00	GBP 0.00	GBP 0.00
11	11	GBP 80.00	GBP 0.00	GBP 0.00	GBP 0.00
12	12	GBP 80.00	GBP 0.00	GBP 0.00	GBP 0.00

- During the process, we monitor the fixed asset value using reports and the Asset Master Data.
- To issue the fixed assets reports go to **Financials → Fixed Assets → Fixed Assets Reports**.
- As we said before, depreciation is used to write off the cost of an asset over its useful lifetime.
- It represents the reduction in the book value of an asset for both tax and accounting purposes and will be included within the company expenses.
- The system predicts the yearly expected depreciation rate according to the *Asset Master Data* definitions.
- You can view this information in the *Asset Depreciation Forecast Report*. You run the report for each depreciation area.
- The depreciation information is presented for each asset and is grouped by a fiscal year.
- If the selected fiscal year does not yet exist, fixed asset forecasts will be based on the last fiscal period defined in SAP Business One. In the display, forecast fiscal years are marked with an asterisk sign.
- In addition, you can view the depreciation information of a specific fixed asset in the *Asset Master Data* window under the *Depreciation* sub-tab.
- The data is presented according to the selected *Depreciation Area* and the selected *Fiscal year*.
- Once you choose a depreciation area and a fiscal year in the corresponding fields, the information area present the numbers according to this selection.

Asset History Sheet

Asset History Sheet - Selection Criteria

Asset Class: From LV assets To LV assets

Balance Sheet Account: 124501

Depreciation Area: GAAP

Period: 2020 Subperiod From: 01.01 To: 31.12

Template:

OK Cancel

Asset History Sheet

Balance Sheet...	Account Name	Asset Class	Asset No.	Asset Description	Histori...	Capitalizat...	Useful Life	Remain...	Depr. T...	APC on St...	Accu...	Ac...	NBV on Sta...
124501	Asset Balance Sheet	LV ass			GBP 0.00					GBP 0.00	GBP 0.00	GBP 0.00	GBP 0.00
			CC00025	Classroom chair	GBP 0.00	13.08	24	19	SL	GBP 0.00	GBP 0.00	GBP 0.00	GBP 0.00
			VA00040001HF	Mobile Phone	GBP 0.00	16.08	24	19	SL	GBP 0.00	GBP 0.00	GBP 0.00	GBP 0.00

Fixed Assets Sub Ledger

OK Expand Collapse

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- The *Asset History Sheet* is the most important supplement to the balance sheet from the fixed assets point of view.
- The report can be issued for all fixed assets.
- It displays all posted asset transactions in a fiscal year and presents the assets for each *Balance Sheet* account.
- When issuing the report, you can choose one balance sheet account or you can leave this selection empty to display the data for all asset balance sheet accounts. Same for asset class.
- You can issue the *Asset History Sheet* and the *Asset Depreciation Forecast Report* for one depreciation area each time.
- Remember that you can also issue the report for a non-posting to GL depreciation area to check the fixed assets value according to this area.
- In our example, you could issue the report for the **IFRS** area which holds a different depreciation method and hence will display different values.
- The balance sheet account selection will be ignored when issuing the report to a non-posting to G/L depreciation area.
- The report can be displayed according to a financial report template.
- Go to **Financials** → **Financial Report Templates** to define the fixed asset template for the *Asset History Sheet*.
- You can also export the report results to MS Excel.

Asset Status Report

Asset Status Report - Selection Criteria

Asset No.

From

To

Asset Class

From

To

Period

2020

☒ Display New Fixed Assets

☒ Display Active Fixed Assets

☒ Display Inactive Fixed Assets

OK

Cancel

Asset Status Report

#	Asset No.	Asset Description	Asset Class	Status	Asset Group	Deprecatio...	Depreciation Start ...	Depreciation End ...	Useful Life...
24						Internal	01.04.	31.03.	48
25	▼ CAR000060C	Navigation System	→ MV	Active		GAAP	01.04.	31.03.	48
26						Internal	01.04.	31.03.	48
27						GAAP	01.04.	31.03.	48
28	▼ CAR000060C	Navigation System	→ MV	Active		GAAP	01.04.	31.03.	48
29						Internal	01.04.	31.03.	48
30						GAAP	01.04.	31.03.	48
31	▼ CC00025	Classroom chair	→ LV assets	Active		GAAP	01.08.	31.07.	24
32						Internal	01.04.	31.03.	48
33	▼ F00094	Truck	→ MV	Inactive		GAAP	01.04.	31.03.	48
34						Internal	01.04.	31.03.	48
35						GAAP	01.04.	31.03.	48
36	▼ Small Truck	Small Truck 550	→ Motor Vehicles	New		GAAP			48
37						IFIS			48
38									48

OK

Expand

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- The Asset Status Report presents an overview on all fixed asset master records for a selected fiscal year.

Asset Transaction Report

Asset Transaction Report - Selection Criteria

Asset Class

From

To

Asset No.

From

To

Posting Date

From

To

Document Date

From

To

Asset Value Date

From

To

Transaction Type

...

OK

List of Transaction Types

Select

Transaction Type

☒ Acquisition

☒ Subacquisition

☒ Credit Memo

☒ Full Retirement

☒ Full Scrapping

☒ Partial Retirement

☒ Partial Scrapping

☒ Low Value Asset Full Retirement

☒ Low Value Asset Full Scrapping

☒ Full Transfer

☒ Partial Transfer

☒ Asset Class Transfer

OK

Cancel

Clear

Asset Transaction Report

#	Asset No.	Asset Description	Doc. No.	Posting Date	Document Date	Asset Value	Transaction Type	Depreciation
33	▼ CAR00006	Navigation System	▼ AC 2	14.04.	14.04.	14.04.	Acquisition	
34							GAAP	
35							Internal	
36	▼ CAR00006	Navigation System	▼ AC 2	14.04.	14.04.	14.04.	Acquisition	
37							GAAP	
38							Internal	
39								
40								
41	▼ CC00025	Classroom chair	▼ AC 7	13.08.	13.08.	13.08.	Acquisition	
42							GAAP	GBP 110.00
43							Internal	GBP 110.00
44	▼ F00094	Truck	▼ AC 1	14.04.	14.04.	14.04.	Acquisition	
45							GAAP	GBP 1,200.00
46							Internal	
47								
48			▼ RT 1	14.04.	14.04.	14.04.	Full Retirement	
49							GAAP	GBP 6,000.00
50							Internal	GBP 6,000.00
51	▼ Transit Van	Transit Van	▼ AC 8	13.08.	13.08.	13.08.	Acquisition	
52							GAAP	GBP 2,000.00
53							Internal	GBP 2,000.00
54			▼ AC 9	13.08.	13.08.	13.08.	Subacquisition	
55							GAAP	GBP 6,000.00

OK

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- The asset transaction report provides you with a list of transactions relevant to an asset.
- Use the *Transaction Type* button to specify the transactions you wish to see in the report.

Asset Master Data - Values Tab

Asset Master Data

Item No. Manual **Small Truck** ☐ Inventory Item
 Description Small Truck 550 ☐ Sales Item
 Foreign Name ☐ Purchase Item
 Item Type Fixed Assets ☐ Virtual Item
 Item Group Items
 UoM Group Manual Bar Code
 Price List Base Price Unit Price Primary Curre

General Purchasing Data Sales Data Inventory Data **Fixed Assets** Planning Data Production Data Properties Remarks Attachments

Overview **Values** Depreciation Cost Accounting Attributes

Depreciation Area **GAAP**
 Fiscal Year **2020**

#	Transaction	Acquisition and Production Costs	Quantity	Depreciation	Write-Up	Net Book Value
1	Beginning of Year	0.00		0.00	0.00	0.00
2	Acquisition	7,200.00		0.00	0.00	7,200.00
3	Retirement	0.00		0.00	0.00	0.00
4	Transfer	0.00		0.00	0.00	0.00
5	Write-Up	0.00		0.00	0.00	0.00
6	Ordinary Depreciation	0.00		1,800.00	0.00	-1,800.00
7	Unplanned Depreciation	0.00		0.00	0.00	0.00
8	Special Depreciation	0.00		0.00	0.00	0.00
9	End of Year	7,200.00		1,800.00	0.00	5,400.00

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- Another place for fixed asset monitoring is the *Values* sub-tab under the *Fixed Assets* tab in the *Asset Master Data*.
- Here, you can monitor the change in value of an asset over the course of one year.
- In the presented example, you can see the values expected for the **truck** asset in the current year according to the **GAAP** depreciation area.

Summary



Here are some key points to take away:

- Retirement is the removal of an asset or part of an asset from the asset portfolio.
- After the asset is fully retired, its value in the asset balance sheet account, in the fixed assets sub ledger, is registered as zero. The asset master data status changes to Inactive. The Net Book Value of the Asset Master Data is set to zero.
- There are two ways to retire a fixed asset: by A/R invoice if you are selling the asset or by a Retirement document if there is no customer involved.
- If you use the A/R Invoice option, make sure you define the Assets Master Data as a *Sales Item*.
- The A/R Invoice automatically generates a Retirement document.

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- Retirement is the removal of an asset or part of an asset from the asset portfolio.
- After the asset is fully retired, its value in the asset balance sheet account, in the fixed assets sub ledger, is registered as zero. The asset master data status changes to *Inactive*. The *Net Book Value* of the *Asset Master Data* is set to zero.
- There are two ways to retire a fixed asset: by *A/R invoice* if you are selling the asset or by a *Retirement* document if there is no customer involved and you need to write off the fixed asset.
- If you use the *A/R Invoice* option, make sure you define the *Assets Master Data* as a *Sales Item*.
- The *A/R Invoice* automatically generates a ***Retirement*** document.

Summary – cont.



- We monitor the fixed asset value using reports and the Asset Master Data.
- You can view the yearly expected depreciation in the *Asset Depreciation Forecast Report*.
- You can also view the depreciation information in the Asset Master Data window under the *Depreciation* sub-tab.
- The *Asset History Sheet* is the most important supplement to the balance sheet from the fixed assets point of view. The report displays all posted asset transactions in a fiscal year and presents the assets for each Balance Sheet account.

- During the process, we monitor the fixed asset value using reports and the Asset Master Data.
- The system predicts the yearly expected depreciation rate according to the *Asset Master Data* definitions. You can view this information in the *Asset Depreciation Forecast Report*.
- You can also view the depreciation information of a specific fixed asset in the *Asset Master Data* window under the *Depreciation* sub-tab.
- The *Asset History Sheet* is the most important supplement to the balance sheet from the fixed assets point of view.
- The report displays all posted asset transactions in a fiscal year and presents the assets for each *Balance Sheet* account.

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